

23STCV10421 23STCV10421

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Division: Civil Law and Motion

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Case Number: 23STCV10421 Hearing Date: July 16, 2026 Dept: 617

Dept.

617

Date:

7-16-26

Case

#: 23STCV10421

Trial

Date: 10-5-26

LEAVE TO AMEND

MOVING

PARTY: Plaintiff, Kelly Soojin Kim

RESPONDING

PARTY: Defendant, Jason Bin Lee

RELIEF

REQUESTED

Motion

for Leave to File First Amended Complaint

SUMMARY

OF ACTION

Plaintiff

Kelly Soojin Kim filed a verified complaint against Defendant Jason Bin Lee for breach of contract, breach of fiduciary duty, fraud, and unfair competition.

Kelly Kim alleges that Lee approached her and her husband, Brandon Kim, in early 2021 to establish a business relationship, whereby Lee would work with Kelly Kim at Star Night, an existing establishment owned and operated by Kelly Kim. Kelly Kim claims that Lee proposed the joint venture to improve revenue at Star Night given Lee's prior operation of a similar restaurant business, OB Bear, which was lost to a fire. Lee purportedly represented that his secret recipes and business knowledge could increase Star Night's sales to at least \$400,000 per month.

In

March 2021, Kelly Kim and Lee entered into a shareholder agreement. The agreement provides Kelly Kim a 51% ownership share of B&K Enterprise, Inc., a corporation previously incorporated by her. Lee is granted the remaining 49% in exchange for his secret recipes and "business management know how." The agreement articulates certain responsibilities between the owners based on either the first or second floor location within the premises and also provides Lee with the right to open additional OB Bear restaurants outside California without Kelly Kim's consent.

The

parties' working relationship was unsuccessful, with accusations of stolen property and improper operational management practices. Lee subsequently requested cessation from the partnership. Kelly Kim alleges that Lee's intent was to either take over Star Night or ruin it so it could not compete with the new business Lee wanted to establish once he received fire insurance proceeds. She also contends that Lee failed to provide the secret recipes in violation of the shareholder agreement and that the agreement fails for lack of consideration. Kelly Kim therefore denies any enforceable shareholder agreement entitling Lee to rights as a shareholder.

On

June 26, 2023, Lee answered the complaint and filed a cross-complaint. On May 28, 2024, Lee filed a Verified Second Amended Cross-Complaint asserting 18 causes of action. Lee alleges multiple violations of the shareholder agreement in the form of interference with his operation of the first floor, unauthorized and unpaid dividends, and Kelly Kim's unilateral dissolution of B&K. He

also alleges an unpaid \$150,000 loan and mismanagement of corporate assets.

RULING: Granted in part.

Kelly Kim moves for leave to file

a First Amended Complaint recharacterizing the parties' agreement as an oral partnership in Star Night and adding a corresponding cause of action for breach of oral partnership agreement and wrongful dissociation. She also seeks to amend her fraud claim and add a UCL claim based on Lee's collection of insurance proceeds from the loss of OB Bear. The basis for the amendment is Lee's October 8, 2025 deposition testimony concerning the parties' relationship and Lee's compensation arrangement. Lee opposes the motion, arguing that Kim's 8-month delay in seeking amendment since his deposition prejudices him because it will necessitate additional discovery and further delay trial. Kelly Kim's motion is granted in part, and she is granted leave to add factual allegations concerning an oral partnership agreement and the corresponding cause of action for breach of oral partnership agreement and wrongful dissociation.

A

motion for leave to amend must comply with the requirements set forth in California Rules of Court, rule 3.1324, which states as follows:

(a) Contents of motion

A

motion to amend a pleading before trial must:

(1)

Include a copy of the proposed amendment or amended pleading, which must be serially numbered to differentiate it from previous pleadings or amendments;

(2)

State what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph, and line number, the deleted allegations are located; and

(3)

State what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the

additional allegations are located.

(b) Supporting declaration

A

separate declaration must accompany the motion and must specify:

(1) The effect of the amendment;

(2) Why the amendment is necessary and proper;

(3) When the facts giving rise to the amended allegations were discovered; and

(4)

The reasons why the request for amendment was not made

earlier.

Dilatory delays and prejudice to the opposing parties is a valid ground for denial. (*Hirsa v.*

Superior Court (1981) 118 Cal.App.3d 486, 490.) Prejudice exists where the amendment would require delaying the trial, resulting in loss of critical evidence, or added costs of preparation such as an increased burden of discovery. (*Magpali v. Farmers Group, Inc.* (1996) 48 Cal.App.4th 471, 486-88.)

Leave

to amend is generally liberally granted. (Code Civ. Proc., § 473, subd. (a); *Mesler v. Bragg Management Co.* (1985) 39 Cal.3d 290, 296.) The Court will not generally consider the validity of the proposed amended pleading in ruling on a motion for leave, instead deferring such determinations for a demurrer or motion to strike, unless the proposed amendment fails to state a valid claim as a matter of law. (*Kittredge*

Sports Co. v. Superior Court (1989) 213 Cal. App.3d 1045, 1048; *California Casualty Gen. Ins. Co. v.*

Superior Court (1985) 173 Cal.App.3d 274, 280-81 disapproved of on other grounds by *Kransco v. American Empire Surplus Lines Ins. Co.* (2000) 23

Cal.4th 390.)

Kelly

Kim is granted leave to add factual allegations concerning the alleged oral partnership agreement and claim for breach of the agreement and wrongful dissociation. These amendments are based on the same set of previously alleged facts regarding the structure of the parties' relationship, which have been the subject of litigation and discovery. Contrary to Lee's claim, Kelly Kim has not affirmatively denied the existence of an oral partnership agreement via discovery or otherwise. [See Garcia Decl. ¶ 8, Exs. 3, 7-8.] The additional cause of action is also not facially barred by the statute of limitations because the alleged dissociation occurred in June 2021, the original complaint was filed in May 2023, and the cause of action is based on the same facts asserted in the initial complaint. (Hirsa, supra, 118 Cal.App.3d at p. 489.) There is also no concern regarding impingement of Lee's summary judgment rights because he has been a party since inception of the litigation and has had an opportunity to test the same facts underlying Kelly Kim's existing causes of action. (Cf. Polibrid Coatings, Inc. v. Superior Court (2003) 112 Cal.App.4th 920, 923-24 [belatedly-added defendant should be given "at least enough time for that party to reasonably complete discovery and bring a summary judgment motion"].) Kelly Kim is thus granted leave to add the oral partnership allegations and related cause of action.

Leave

is not granted, however, to add the new fraud allegations and fraud and UCL causes of action. Up until now, Kelly Kim's fraud theory has rested on Lee's purported intent to take over or destroy Star Night. This is very different from the proposed amendments which shift the factual basis to Lee's intent to leave Star Night upon receipt of insurance proceeds. Kelly Kim also has not previously claimed a purported scheme by Lee to use the partnership to conceal income from his insurer. Allowing these amendments would prejudice Lee at this stage of the litigation as he has not had the opportunity to explore and test these facts through discovery. Kelly Kim is thus not granted leave to add the fraud allegations and related fraud and UCL claims.

Kelly

Kim's motion is thus granted in part. Kelly Kim to file a First Amended Complaint in accordance with this order within 10 days.

Kelly

Kim to give notice.

Dept.

617

Date:

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LEAVE TO AMEND

MOVING

PARTY: Cross-Defendants, Kelly Soojin Kim, Brandon Kim, and B&K Enterprise, Inc.

RESPONDING

PARTY: Cross-Complainant, Jason Bin Lee

RELIEF

REQUESTED

Motion

for Leave to File First Amended Answer to Verified Second Amended Cross-Complaint

SUMMARY

OF ACTION

Plaintiff

Kelly Soojin Kim filed a verified complaint against Defendant Jason Bin Lee for breach of contract, breach of fiduciary duty, fraud, and unfair competition.

Kelly Kim alleges that Lee approached her and her husband, Brandon Kim, in early 2021 to establish a business relationship, whereby Lee would work with Kelly Kim at Star Night, an existing establishment owned and operated by Kelly Kim. Kelly Kim claims that Lee proposed the joint venture to improve revenue at Star Night given Lee's prior operation of a similar restaurant business, OB Bear, which was lost to a fire. Lee purportedly represented that his secret recipes and business knowledge could increase Star Night's sales to at least

\$400,000 per month.

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March 2021, Kelly Kim and Lee entered into a shareholder agreement. The agreement provides Kelly Kim a 51% ownership share of B&K Enterprise, Inc., a corporation previously incorporated by her. Lee is granted the remaining 49% in exchange for his secret recipes and “business management know how.” The agreement articulates certain responsibilities between the owners based on either the first or second floor location within the premises and also provides Lee with the right to open additional OB Bear restaurants outside California without Kelly Kim's consent.

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parties' working relationship was unsuccessful, with accusations of stolen property and improper operational management practices. Lee subsequently requested cessation from the partnership. Kelly Kim alleges that Lee's intent was to either take over Star Night or ruin it so it could not compete with the new business Lee wanted to establish once he received fire insurance proceeds. She also contends that Lee failed to provide the secret recipes in violation of the shareholder agreement and that the agreement fails for lack of consideration. Kelly Kim therefore denies any enforceable shareholder agreement entitling Lee to rights as a shareholder.

On

June 26, 2023, Lee answered the complaint and filed a cross-complaint. On May 28, 2024, Lee filed a Verified Second Amended Cross-Complaint asserting 18 causes of action. Lee alleges multiple violations of the shareholder agreement in the form of interference with his operation of the first floor, unauthorized and unpaid dividends, and Kelly Kim's unilateral dissolution of B&K. He also alleges an unpaid \$150,000 loan and mismanagement of corporate assets.

RULING: Granted in part.

Cross-Defendants Kelly Soojin Kim, Brandon Kim, and B&K Enterprise, Inc. move for leave to file a First Amended Answer to Cross-Complainant Jason Bin Lee's Verified Second Amended Cross-Complaint. They seek to add affirmative defenses for failure of consideration, rescission, lack of mutual assent, and selective claim of shareholder benefits without corresponding obligations. The basis for the amendments is the Court's denial of their summary adjudication motion and

developments in discovery. Lee opposes the motion, arguing prejudice due to the timing of the motion and claiming that the rescission and selective claim of shareholder benefits defenses improperly seek affirmative relief. Cross-Defendants' motion is granted in part, and they are granted leave to add the defenses for failure of consideration and rescission.

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(b) Supporting declaration

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separate declaration must accompany the motion and must specify:

(1) The effect of the amendment;

(2) Why the amendment is necessary and proper;

(3) When the facts giving rise to the amended allegations were discovered; and

(4)
The reasons why the request for amendment was not made earlier.

Dilatory delays and prejudice to the opposing parties is a valid ground for denial. (*Hirsa v. Superior Court* (1981) 118 Cal.App.3d 486, 490.) Prejudice exists where the amendment would require delaying the trial, resulting in loss of critical evidence, or added costs of preparation such as an increased burden of discovery. (*Magpali v. Farmers Group, Inc.* (1996) 48 Cal.App.4th 471, 486-88.)

Leave to amend is generally liberally granted. (Code Civ. Proc., § 473, subd. (a); *Mesler v. Bragg Management Co.* (1985) 39 Cal.3d 290, 296.) The Court will not generally consider the validity of the proposed amended pleading in ruling on a motion for leave, instead deferring such determinations for a demurrer or motion to strike, unless the proposed amendment fails to state a valid claim as a matter of law. (*Kittredge Sports Co. v. Superior Court* (1989) 213 Cal. App.3d 1045, 1048; *California Casualty Gen. Ins. Co. v. Superior Court* (1985) 173 Cal.App.3d 274, 280-81 disapproved of on other grounds by *Kransco v. American Empire Surplus Lines Ins. Co.* (2000) 23 Cal.4th 390.)

Cross-Defendants are granted leave to add the affirmative defenses for failure of consideration and rescission. Both defenses are based on Lee's purported failure to provide Cross-Defendants with the OB Bear recipes, a fact in issue since inception of the litigation and subject to discovery. Lee's challenge to the rescission defense is not proper for consideration on the instant motion and there is no concern of impingement of his right to bring a summary adjudication motion as he has been a party for the entirety of the case and has had the opportunity to test the facts underlying the basis for rescission. (Cf. *Polibrid Coatings, Inc. v. Superior Court* (2003) 112 Cal.App.4th 920, 923-24 [belatedly-added defendant should be given "at least enough time for that party to reasonably complete discovery and bring a summary judgment motion"].) However, leave is not granted to add the defenses for lack of mutual assent and selective claim

of shareholder benefits because both defenses are premised on facts that Lee has not been able to test and explore through discovery. The mutual assent defense is based on misunderstandings due to a lack of translation of the written shareholder agreement and Lee's intent to leave the business after receiving insurance proceeds. The selective claim of shareholder benefits defense seeks an accounting of the liabilities incurred during the period of Lee's claimed ownership. Lee has not had the opportunity to conduct discovery on these issues. Cross-Defendants are therefore only granted leave to add the defenses for failure of consideration and rescission.

Cross-Defendants'

motion is thus granted in part. Cross-Defendants to file a First Amended Answer in accordance with this order within 10 days.

Cross-Defendants

to give notice.